
Strategic Partnership for the Next Era of Tesco Clubcard

COVER SLIDE

BOARD READY

Introducing Our Strategic Partnership

- Proven track record of enabling loyalty-led growth for global retailers, including Walmart, Kroger, and Carrefour.
- Strategic partner—not a vendor—focused on long-term value creation for Tesco's core assets.
- Deep expertise in personalization, data-driven insights, and incremental revenue growth through loyalty programs.

Alignment with Tesco's Strategic Priorities



Clubcard's evolution from a loyalty program to a strategic asset driving Tesco's 2025/2030 goals.



Direct alignment with Tesco's priorities: customer loyalty, personalization at scale, and data-driven value creation.



Enhancing Tesco's competitive advantage in the UK grocery market through incremental revenue and margin protection.

Clubcard: From Loyalty Program to Strategic Asset

- Clubcard's 30-year legacy as a globally groundbreaking loyalty program, now a cornerstone of Tesco's digital transformation.
- Unrivalled customer reach with over 23 million active Clubcard households in the UK.
- Clubcard's role in driving Tesco's retail media growth, ranked joint #1 in Flywheel's European retail media rankings.

Enhancing Clubcard's Impact on Customer Engagement

10M+
customers **+15%**
YoY

CLUBCARD CHALLENGES
ENGAGEMENT

Record
levels **+12%**
YoY

DIGITAL ENGAGEMENT GROWTH

Incremental Revenue and Margin Protection

- Clubcard Prices drive £392 annual savings per customer, enhancing value perception and loyalty.
- Retail media growth: Tesco Media and Insight Platform saw a 30% increase in active advertisers and spend per campaign.
- Clubcard's contribution to Tesco's 4% Group sales growth at constant exchange rates in 2024/25.

Technology and Data as Enablers of Clubcard's Value



Integration of AI and data analytics to deliver hyper-personalized offers and improve demand forecasting.



Expansion of Tesco's digital platform, including 5,000+ in-store screens and 9,000+ retail media campaigns.



Clubcard's role in Tesco's marketplace proposition, offering 400,000+ third-party products with seamless integration.

Global Loyalty Programs: Benchmarking Clubcard's Potential

- Overview of loyalty programs from Walmart (Walmart+), Kroger (Kroger Plus), Carrefour (Carrefour Pass), and Amazon (Prime).
- Key trends: personalization, retail media integration, and incremental revenue growth through loyalty ecosystems.
- Benchmarking Clubcard's potential against global peers using Tesco's data-driven approach.

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"Case Study 1: Walmart+"



GLOBAL CASE STUDIES: PROVEN LOYALTY-LED GROWTH

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GLOBAL CASE STUDIES: PROVEN LOYALTY-LED GROWTH

Case Study 2: Kroger Plus

+25% YoY

CUSTOMER RETENTION GROWTH

+40% YoY

RETAIL MEDIA REVENUE GROWTH

Case Study 3: Carrefour Pass

- Program Overview: Carrefour Pass with 20M+ members, offering personalized discounts and partner rewards.
- Strategic Objectives: Drive incremental spend, enhance customer engagement, and expand retail media.
- Outcomes: 18% increase in customer spend, 30% growth in retail media revenue, and 3.5x ROI over 6 years.

Comparative Analysis: Clubcard's Potential vs. Global Peers



Clubcard's unrivalled scale: 23M+ households in the UK, compared to Walmart+ (50M) and Kroger Plus (60M).



Retail media leadership: Tesco ranked joint #1 in Flywheel's European retail media rankings, ahead of Carrefour and Amazon.



Personalization at scale: AI-driven Clubcard Challenges engaged 10M+ customers, driving record digital engagement.

Key Takeaways: Translating Global Insights to Clubcard's Evolution

- Clubcard's potential to drive incremental revenue growth through retail media and personalized offers.
- Opportunity to expand Clubcard's ecosystem with strategic partners, enhancing customer lifetime value.
- Tesco's digital transformation as a catalyst for Clubcard's evolution into a global loyalty benchmark.

Clubcard's Strategic Roadmap: 2025-2030



Short-Term (2025-2026): Enhance personalization with AI-driven offers, expand retail media, and integrate Clubcard with Tesco's marketplace.



Medium-Term (2027-2028): Drive incremental revenue growth through strategic partnerships and loyalty ecosystems.



Long-Term (2029-2030): Position Clubcard as a global benchmark for loyalty programs, delivering sustainable growth and margin protection.

Financial and Strategic Benefits of Our Partnership

3.5x vs. baseline

PROJECTED 5-YEAR ROI

£1.2B+ +40% vs.
2025

INCREMENTAL REVENUE (2030)

Risk Mitigation and Future-Proofing Clubcard

- Data Privacy: Compliance with GDPR and Tesco's data governance framework to protect customer insights.
- Competition: Differentiation through hyper-personalization and retail media leadership.
- Technology: Future-proofing Clubcard with AI, machine learning, and seamless digital integration.

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*"Why Tesco? Our Unique Fit for Tesco's Culture
and Ambition"*

STRATEGIC ROADMAP & PARTNERSHIP VALUE

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Summary: Clubcard as Tesco's Growth Engine



Clubcard's evolution from a loyalty program to a strategic asset driving Tesco's 2025/2030 growth ambitions.



Proven impact on customer engagement, incremental revenue, and margin protection through data-driven insights.



Strategic partnership delivering measurable ROI, future-proofing Tesco's competitive advantage in the UK grocery market.

Call to Action: Next Steps for Ken Murphy

- Proposal: Executive workshop to align on Clubcard's strategic roadmap and 2025-2030 milestones.
- Pilot Program: Launch a targeted initiative to test AI-driven personalization and retail media growth.
- Commitment: Long-term partnership to deliver sustainable growth and value for Tesco's stakeholders.